

Pandora A/S

PNDORA.CO • NASDAQ Copenhagen • Luxury Goods • Denmark

COMPANY PROFILE

Pandora A/S is a Danish jewellery company and the world's largest jewellery brand by volume. It designs, manufactures and markets hand-finished jewellery through a global network of company-operated and franchised stores. The business combines its mature Core charm-and-bracelet collections with the faster-growing "Fuel with more" range, which includes solid gold, new design lines and lab-grown diamonds. Pandora continues to expand its full-jewellery assortment and owned retail footprint.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

829.20 DKK

as of report date

TARGET PRICE

676.30 DKK

12-month fundamental

IMPLIED UPSIDE

-18.4%

vs. current price

MARKET CAP

DKK 62 bn

shares × price

ENTERPRISE VALUE

DKK 76.3 bn

mcap + EV adjustments

P/E 2026E

12.9×

EV/EBITDA 2026E

7.1×

FCF YIELD 2026E

8.8%

DIVIDEND YIELD
2026E

2.3%

NET DEBT / EBITDA
2026E

1.3×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 676.30 DKK 12-month fundamental	CURRENT PRICE 829.20 DKK as of report date	IMPLIED UPSIDE -18.4% vs. current price
MARKET CAP DKK 62 bn shares × price	ENTERPRISE VALUE DKK 76.3 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 12.9x · 7.1x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 8.8% · 2.3%



01 Core Volume Contraction

Core like-for-like sales fell to -1% in Q2 2026 from +2% in 2024 as demand for bracelets and charms softened. We forecast group EBIT to trough at DKK 5.3 billion in 2027e.

-1% LFL

02 Fuel Outperformance Slowing

Fuel with More like-for-like growth slowed to +6% in Q2 2026 from +22% in 2024 as the segment matured against a tougher comparison base. It must sustain 4-7% LFL to support its premium valuation.

+6% LFL

03 Multiple De-rating Required

Our target price uses 12.5x 2027e EBIT, below Pandora's 14.11x historical average. Persistent Core weakness and margin compression warrant a structurally lower multiple than in prior cycles.

12.5x EV/EBIT

THESIS BREAKER

Two consecutive years of Core LFL above +2%, sustained Fuel growth, and EBIT margins recovering above 20% would invalidate the downside thesis.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

DKK per share, with 12-month target line



CURRENT PRICE

829.20 DKK

17 August 2026

TARGET PRICE

676.30 DKK

12-month

IMPLIED UPSIDE

-18.4%

vs. current

52-WEEK HIGH

916.40 DKK

past 12m

52-WEEK LOW

430.00 DKK

past 12m

1-YEAR CHANGE

-2.0%

price only

3-YEAR CHANGE

+17.7%

price only

REPORT DATE

17 August 2026

READING THE MOVE

Over the past 36 months, the shares have rallied on Fuel with More's 22% like-for-like growth in 2024, establishing a premium valuation. The stock recently traded at 829.2 DKK after Pandora received a partial U.S. tariff refund in Q2 2026 and announced Paulo Garcia as its new CFO. However, the price masks weakness in the Core charm business, where LFL fell to -1% in Q2 2026. This gap between a healthy 10.5x 2026e EV/EBIT multiple and declining volumes in the largest earnings segment supports our 12-month target of 676.3 DKK.

VALUE BREAKDOWN · PART 1

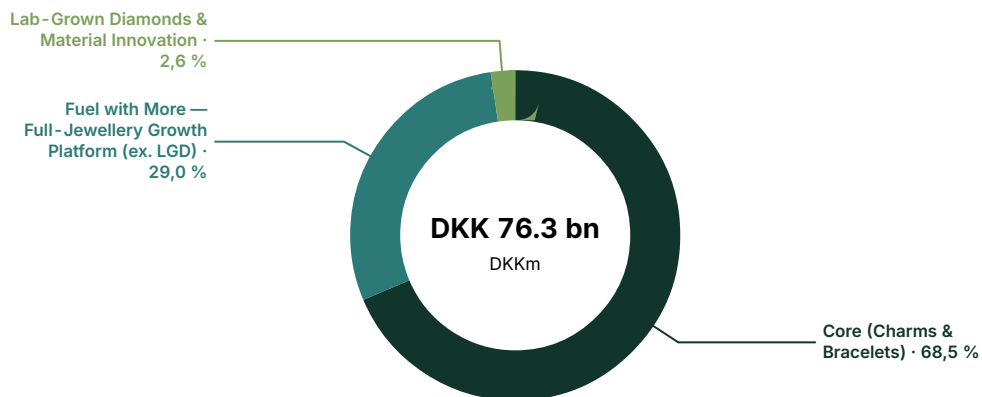
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

DKK millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. "Reported" rows match a verified company-reported segment; "Modelled allocation" rows are model-side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model's estimate of each division's share of group EBIT. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	EBIT SHARE OF TOTAL (EST.)	BASIS
Core (Charms & Bracelets)	52,270	68.5%	24,235	74.5%	18,867	73.3%	Reported
Fuel with More — Full-Jewellery Growth Platform (ex. LGD)	22,101	29.0%	7,714	23.7%	6,383	24.8%	Modelled allocation
Lab-Grown Diamonds & Material Innovation	1,950	2.6%	600	1.8%	497	1.9%	Modelled allocation
Total	76,321	100.0%	32,549	100.0%	25,747	100.0%	—

VALUE BREAKDOWN · PART 2

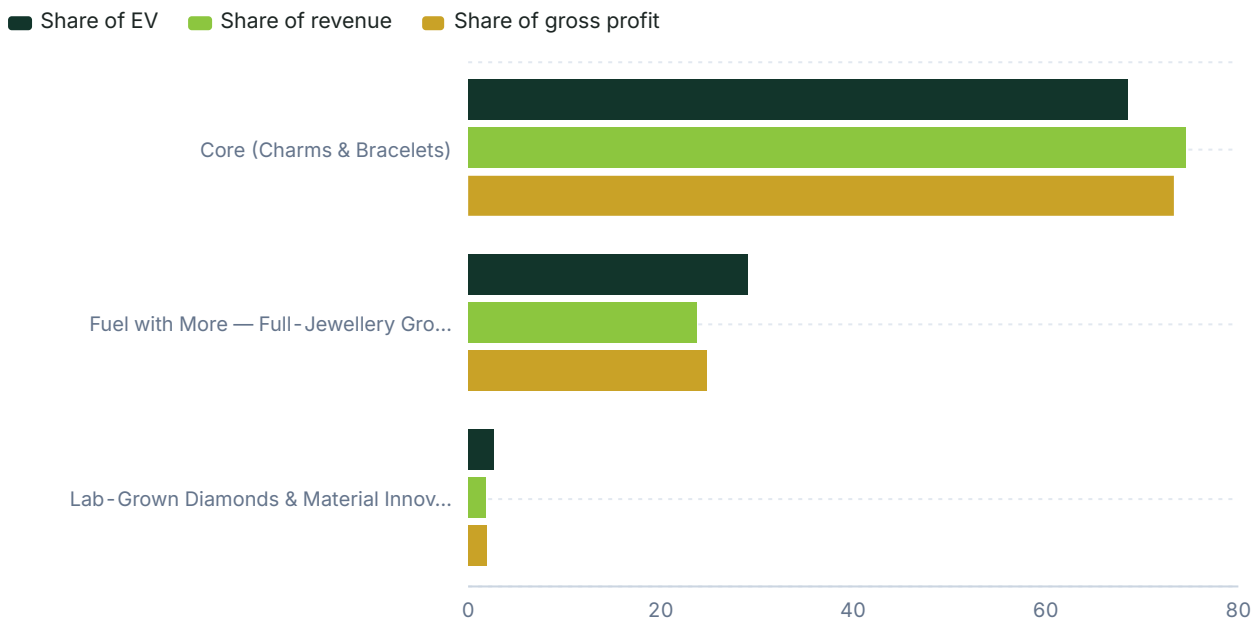
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Enterprise value is primarily tied to the mature Core segment, which accounts for 68.5% and reflects current high-margin cash flow rather than growth. Fuel with More represents 29.0% of EV, well above its ~23.7% revenue share. This suggests the market expects continued mix shift and stronger growth. Lab-Grown Diamonds account for a low-confidence 2.6% option-value allocation.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

SELL. Our 12-month target price is DKK 676.3, implying 18.4% downside from the current price of DKK 829.20.

Recent results point to weakness in the underlying business. Core like-for-like sales fell to -1% in Q2 2026, from +2% in 2024. Growth in the higher-margin Fuel with More platform also slowed, to +6% in Q2 2026 from 22% in 2024. Softness in the core charm-and-bracelet division threatens the bulk of Pandora's earnings power. We forecast group EBIT margin to fall to 15.6% by 2027e, from 23.9% in FY2025A.

The main counter-argument is Pandora's partial U.S. tariff refund in Q2 2026 and robust group net store openings, which remain on track for the 2024-2026 plan. These factors support near-term cash flow and sales. However, they are largely non-recurring or capital-intensive and do not address weak like-for-like demand in the mature Core business.

A sustained return to positive Core like-for-like growth above +2%, alongside margin stabilization over the next 12-24 months, would invalidate this thesis and require a higher valuation multiple. Conversely, consecutive quarters of Core LFL below -2%, combined with further margin compression, would confirm structural fatigue and increase downside toward the bear case.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Pandora generates most of its revenue and disclosed gross profit from Core charm-and-bracelet collections. Group net sales reached DKK 32.5 billion in FY2025A. Core contributed DKK 24.2 billion, or 74.5 percent, while Fuel with more contributed DKK 8.3 billion, or 25.5 percent. Group EBIT was DKK 7.8 billion, representing a 23.9 percent margin. Pandora does not disclose segment EBIT, so gross profit is the only official profit split: Core accounts for 73.3 percent and Fuel with more for 26.7 percent. Our analytical split separates lab-grown diamonds from Fuel with more as an emerging segment.

Enterprise value of DKK 76.3 billion is allocated 68.5 percent to Core, 29.0 percent to the non-LGD Fuel platform, and 2.6 percent to lab-grown diamonds and material innovation. Reported gross-profit shares provide the main anchor. We then apply modest multiple differences for growth and a revenue-multiple fallback for the small lab-grown segment. Values were normalized by a negligible 0.05 percent to match the fixed DKK 76.3 billion enterprise-value control total.

The EV-to-equity bridge is straightforward and fully reconciled. Market capitalization of DKK 62 billion plus net debt of DKK 14.3 billion equals enterprise value of DKK 76.3 billion. Core carries a slightly lower EV weight than its sales or gross-profit share because recent like-for-like trends have become flat to negative. Fuel receives a premium to its current sales share, reflecting higher reported like-for-like growth and a modestly better gross margin. This matters because the current share price of DKK 829.2 is supported mainly by Core's existing cash generation at a moderate group multiple of 2026e EV/EBIT 10.50x.

ANALYTICAL ANCHOR

Pandora's enterprise value depends heavily on Core cash generation, leaving valuation exposed if charm fatigue proves structural and network expansion cannot offset it.

08.1

Core (Charms & Bracelets)

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

The DKK 52.3 billion allocation rests on current earnings power, not growth, assets or optionality. At the group 2026e EV/EBIT of 10.5x, Core is valued as a mature, high-gross-margin cash generator with recently stalled like-for-like volumes. Core must continue to generate most group EBIT, roughly 70 percent on a gross-profit proxy, while network expansion offsets further like-for-like weakness. The allocation does not require a return to double-digit like-for-like growth. It requires the franchise to avoid structural decline.

MARKET STRUCTURE AND DEMAND

The global jewellery market was worth approximately USD 380–400 billion in 2025 and is projected at USD 395–408 billion in 2026. Fashion and affordable jewellery represent a large subset; one estimate put fashion jewellery at nearly USD 168 billion in 2024. Pandora's group revenue of roughly USD 5.0 billion (DKK 32.5 billion) represents about 1.2–1.3 percent of the total jewellery market.

Core's DKK 24.2 billion revenue is a smaller share of the market. It is concentrated in silver charms, bracelets and related collectible pieces, sold through roughly 2,800 concept stores globally and additional points of sale. Demand comes from gifting, self-purchase and collection-building, with the United States as the largest market. Core LFL fell to minus 1 percent in Q2 2026 after only 2 percent like-for-like in 2024. This coincided with weaker U.S. consumer sentiment and higher silver prices. Over three-to-five years, realistic gains are stable share or low-single-digit organic growth from net store openings, rather than a large increase in global share.

COMPETITIVE POSITION AND ECONOMIC MOAT

Pandora remains the volume leader in affordable branded jewellery. Its owned manufacturing in Thailand, 100 percent recycled silver and gold, and collectible charm system provide customer retention that pure retailers lack. Its moat rests on brand and ecosystem, not unique technology. Competitors include multi-brand specialty retailers, fast-fashion jewellery chains and luxury houses. Pandora must show that charm-bracelet weakness is cyclical rather than structural, and that store productivity can withstand discounting pressure.

UNIT ECONOMICS AND REQUIRED SCALE

Core is a high-volume, high-gross-margin manufacturer-retailer. Its 77.9 percent gross margin leaves room for retail occupancy, marketing and overhead. Group EBIT margin of 23.9 percent in FY2025A suggests Core likely operates at or above that level after allocated costs. Average selling prices begin at around USD 70 for a silver charm bracelet. The model requires high factory utilization in Thailand and Vietnam, along with disciplined working-capital management as inventories have risen.

CORE (CHARMS & BRACELETS)
FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
DKK 24,235m

FY2025A GROSS PROFIT
DKK 18,867m

GROSS MARGIN
77.9%

ALLOCATED ENTERPRISE VALUE
DKK 52,270m

FY2025A CORE EXTERNAL REVENUE
DKK 24.2bn

Q2 2026 LIKE-FOR-LIKE GROWTH
-1%

GLOBAL JEWELLERY MARKET SHARE
CONTEXT
~1.2-1.3%

CONCEPT STORE NETWORK
~2,800 stores

REQUIRED MID-TERM PERFORMANCE
Flat multi-year volume average

08.1

Core (Charms & Bracelets) (continued)

Business division deep dive — Profit engine.

ECONOMICS BRIDGE

Allocated EV is DKK 52.3 billion. Core revenue is DKK 24.2 billion and gross profit is DKK 18.9 billion. Over the next 3-5 years, Core LFL must average at least flat, group EBIT margin must remain near 20 percent, and free-cash-flow conversion must support the 2026e EV/EBIT of 10.5x. The revenue requirement is feasible at the current scale: Pandora produces tens of millions of pieces annually.

GAP TO REQUIRED ECONOMICS

The required outcome is stable to low-growth Core EBIT at current margins. The forecast bridge delivers this only if like-for-like sales do not weaken further. The main risk is persistently negative like-for-like sales that network growth cannot offset. Closing any gap would require positive Core like-for-like growth, higher pricing or mix, or a lower market valuation multiple.

MILESTONES AND EVIDENCE NEEDED

- Q3/Q4 2026 and FY2026 Core like-for-like prints
- Net store openings against the 2024-2026 plan
- Updates on silver hedging, with 90-100 percent of 2027 needs already hedged
- Evidence that charm collections remain relevant to new cohorts and that Asia store productivity matches Western levels

ASSESSMENT

Plausible but demanding. The allocation is supported by current high-margin cash generation, but recent negative like-for-like sales must prove cyclical. Persistent structural weakness would make the 68.5 percent EV weight generous at a 10.5x EBIT multiple.

CORE (CHARMS & BRACELETS) FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
DKK 24,235m

FY2025A GROSS PROFIT
DKK 18,867m

GROSS MARGIN
77.9%

ALLOCATED ENTERPRISE VALUE
DKK 52,270m

FY2025A CORE EXTERNAL REVENUE
DKK 24.2bn

Q2 2026 LIKE-FOR-LIKE GROWTH
-1%

GLOBAL JEWELLERY MARKET SHARE CONTEXT
~1.2-1.3%

CONCEPT STORE NETWORK
~2,800 stores

REQUIRED MID-TERM PERFORMANCE
Flat multi-year volume average

CORE COMPETITIVE COMPARISON (AFFORDABLE / SPECIALTY JEWELLERY)

COMPANY	REVENUE (LATEST FY/TTM)	STORE / CONCEPT COUNT (DATE)	COMPARABLE / LFL GROWTH (PERIOD)
Pandora (Core / group)	DKK 24.2bn / 32.5bn (FY2025A)	~2,800 concept stores (2025/26)	Core LFL -1% (Q2 2026)
Signet Jewelers	USD 6.81bn (FY2026)	2,582 stores (31 Jan 2026)	SSS +1.3% (FY2026)
Lovisa Holdings	AUD 798m (FY2025)	1,095 (H1 FY26)	Comp +1.7% (FY2025)
Swarovski	EUR 1.97bn (2025)	n.d.	Organic +6% (2025)

08.2

Fuel with More — Full-Jewellery Growth Platform (ex. LGD)

Business division deep dive — Scaling.

WHY THE MARKET VALUES IT

The DKK 22.1 billion allocation assumes continued category mix shift and stronger growth. Fuel with more delivered 22 percent like-for-like growth in 2024 and 6 percent in Q2 2026, while Core contracted. The non-lab-grown lines—Garden of Dreams, Timeless, Essence, solid-gold and seasonal collections—must sustain mid-to-high single-digit like-for-like growth as they scale. This would justify a higher multiple than Core.

MARKET STRUCTURE AND DEMAND

The relevant market is the same ~USD 400 billion global jewellery market, but the addressable category is broader full jewellery, including rings, necklaces, earrings and gold, rather than collectible charms. Pandora's Fuel platform remains a modest share of this market. Demand is more fashion- and trend-driven than Core, with greater exposure to Gen-Z design preferences and everyday wear. Growth depends on converting charm customers into multi-category buyers and attracting new customers through design rather than collectability.

COMPETITIVE POSITION AND ECONOMIC MOAT

The platform shares Pandora's brand, stores and manufacturing, but competes more directly with fashion jewellery specialists and the fashion ranges of Signet and Lovisa. Its moat is weaker than Core's collectible lock-in. Success depends on design freshness and marketing. Signet's fashion jewellery is growing from a lower-margin base. Pandora's design-led lines must prove they can maintain elevated growth without heavy discounting.

UNIT ECONOMICS AND REQUIRED SCALE

Gross margin is higher than Core's, at 82.8 percent versus 77.9 percent. The platform must sustain like-for-like outperformance and generate higher store productivity from the new assortment. Because the allocation already includes a growth premium, it must deliver mid-single-digit organic growth through 2029 to support its 29 percent EV weight at group multiples.

ECONOMICS BRIDGE

Allocated EV is DKK 22.1 billion, against current modelled revenue of ~DKK 7.7 billion at higher margins. Fuel ex-LGD LFL must remain 4–7 percent annually and contribute a growing share of group EBIT. Key drivers are new-collection sell-through, conversion of Core customers, and ASP mix toward gold through 2026–2029.

GAP TO REQUIRED ECONOMICS

The forecast bridge works only if recent outperformance continues. If growth slows toward Core's rate, the 29 percent EV share would look expensive. Disclosure remains limited: Pandora provides no official split of Fuel with more between lab-grown diamonds and other lines, and does not disclose segment EBIT.

FUEL WITH MORE — FULL-JEWELLERY GROWTH PLATFORM (EX. LGD) FACT SHEET

SCALING

MODEL ESTIMATE REVENUE
DKK 7,714m

MODEL ESTIMATE GROSS
PROFIT
DKK 6,383m

REPORTED FUEL GROSS MARGIN
82.8%

Q2 2026 LIKE-FOR-LIKE
GROWTH
+6%

2024 LIKE-FOR-LIKE GROWTH
22%

ALLOCATED ENTERPRISE VALUE
DKK 22,101m

MODELLED EXTERNAL REVENUE
~DKK 7.7bn

REQUIRED MID-TERM ORGANIC
GROWTH
4–7% annually

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2

Fuel with More — Full-Jewellery Growth Platform (ex. LGD) (continued)

Business division deep dive — Scaling.

MILESTONES AND EVIDENCE NEEDED

- Sequential Fuel like-for-like prints and any collection-level performance disclosure over 12-24 months
- Evidence that design lines can mature without margin compression over three-to-five years
- Evidence that Fuel like-for-like growth avoids structural declines below 3 percent

ASSESSMENT

Plausible but demanding. Recent results support the growth premium, but it is not yet proven at a larger scale. Fashion jewellery lines can slow once novelty fades, which is the main risk to this allocation.

FUEL WITH MORE — FULL-JEWELLERY GROWTH PLATFORM (EX. LGD) FACT SHEET

SCALING

MODEL ESTIMATE REVENUE
DKK 7,714m

MODEL ESTIMATE GROSS PROFIT
DKK 6,383m

REPORTED FUEL GROSS MARGIN
82.8%

Q2 2026 LIKE-FOR-LIKE GROWTH
+6%

2024 LIKE-FOR-LIKE GROWTH
22%

ALLOCATED ENTERPRISE VALUE
DKK 22,101m

MODELLED EXTERNAL REVENUE
~DKK 7.7bn

REQUIRED MID-TERM ORGANIC GROWTH
4-7% annually

FUEL - WITH - MORE COMPETITIVE COMPARISON (FASHION / FULL JEWELLERY)

COMPANY	REVENUE (LATEST)	STORE COUNT (DATE)	GROSS MARGIN / GROWTH (PERIOD)
Pandora Fuel (ex-LGD est.)	~DKK 7.7bn (FY2025A modelled)	Same ~2,800 network	GM 82.8%; LFL +6% (Q2 2026)
Lovisa Holdings	AUD 798m (FY2025)	1,095 (H1 FY26)	GM ~83%; rev +14% (FY2025)
Signet (fashion jewellery)	Part of USD 6.81bn (FY2026)	2,582 (Jan 2026)	Positive SSS
Swarovski	EUR 1.97bn (2025)	n.d.	Organic +6% (2025)

08.3

Lab-Grown Diamonds & Material Innovation

Business division deep dive — Emerging option.

WHY THE MARKET VALUES IT & MARKET DEMAND

This allocation reflects option value rather than current earnings. The lab-grown diamond jewellery market was estimated at USD 11–12 billion in 2024–2025 and is expected to grow rapidly, with one forecast reaching USD 28 billion by 2034. Pandora's current ~USD 90 million run-rate is a very small share. It could capture a few hundred million dollars of revenue by 2029 if rollout continues and unit economics hold. The valuation does not require market leadership.

COMPETITIVE POSITION AND ECONOMIC MOAT

Pandora is a late but scaled entrant using its existing stores. Brilliant Earth is the digitally native specialist, while Signet has integrated lab-grown diamonds across Kay, Zales and Jared, representing 27 percent of merchandise sales in FY2026. Pandora's advantage is its distribution density. Its challenge is proving that lab-grown fashion jewellery can generate acceptable contribution after marketing, and that sustainability claims around the "5th C" carbon footprint withstand regulatory scrutiny.

UNIT ECONOMICS AND ECONOMICS BRIDGE

Unit economics are undisclosed. The allocation requires the collection to generate several hundred million DKK of revenue at margins no worse than the group average. The DKK 1.95 billion EV on ~DKK 600 million current revenue implies that the market expects growth to ~DKK 1.5–2 billion by 2029 at a modest sales multiple, or values strategic optionality from material innovation such as the platinum-plated pilot.

GAP TO REQUIRED ECONOMICS AND MILESTONES

Current revenue is an order of magnitude below the level needed for 2.6 percent of EV to reflect current earnings. The difference is option value. The next milestone is full EU Empowering Consumers for the Green Transition enforcement, expected late 2026. Approval would harmonize labeling; rejection would fragment it.

LAB-GROWN DIAMONDS & MATERIAL INNOVATION FACT SHEET

EMERGING OPTION

MODEL ESTIMATE REVENUE
DKK 600m

MODEL ESTIMATE GROSS PROFIT
DKK 497m

2026 SALES AMBITION
>USD 100m

ESTIMATED FY2025A REVENUE
~DKK 600m

EV/SALES MULTIPLE FALLBACK
3.25x

CURRENT STORE DISTRIBUTION
~700 stores (NA, UK, AUS) + Spain/Italy

PLATINUM-PLATED PILOT LAUNCH
July 2026 (Netherlands)

REQUIRED EU GREEN CLAIMS
CLEARANCE
Late 2026 enforcement gate

LATEST EVENT STATUS
Pilot test of a limited range of platinum-plated jewellery successfully... (2026-08-12)

PILOT LAUNCH DATE
July 2026

NEXT MILESTONE
Broader market testing planned for fourth quarter 2026

08.3

Lab-Grown Diamonds & Material Innovation (continued)

Business division deep dive — Emerging option.

- Q4 2026 broader platinum test
- Execution of the remaining 2026 lab-grown geographic rollout
- Disclosure of standalone lab-grown profitability or margins

LAB-GROWN DIAMONDS & MATERIAL INNOVATION FACT SHEET

EMERGING OPTION

MODEL ESTIMATE REVENUE
DKK 600m

MODEL ESTIMATE GROSS PROFIT
DKK 497m

2026 SALES AMBITION
>USD 100m

ESTIMATED FY2025A REVENUE
~DKK 600m

EV/SALES MULTIPLE FALLBACK
3.25x

CURRENT STORE DISTRIBUTION
~700 stores (NA, UK, AUS) + Spain/Italy

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PILOT LAUNCH DATE
July 2026

NEXT MILESTONE
Broader market testing planned for fourth quarter 2026

LAB-GROWN DIAMOND COMPETITIVE COMPARISON

COMPANY	LGD / RELEVANT REVENUE (PERIOD)	DISTRIBUTION (DATE)	UNIT / MIX METRIC
Pandora LGD	~USD 90-100m ambition (2026)	~700 stores + Spain/Italy (2026)	Fashion-oriented, accessible price
Brilliant Earth	USD 437m group (2025)	43 showrooms (2026)	DTC + showroom; higher ASP
Signet Jewelers	27% of merch sales LGD (FY2026)	2,582 stores	~40% of bridal; fashion rising
Natural Diamond Council	Majority of diamond jewellery	Traditional jewellers	Price premium in bridal

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

The 2026–2029 forecasts assume low -single-digit sales growth, an EBIT -margin decline in 2027 followed by recovery, and steadily lower net debt.

Current Core cash generation and Fuel mix shift support the 2026 forecasts. The 2027 EBIT step-down is the weakest link and is not fully explained by the available data. Possible factors include silver costs, tariffs or investment timing.

Lab-grown diamonds and platinum-plated material are too small to materially affect group EBIT during the forecast period. For the forecasts to hold, Core like-for-like must stabilize and Fuel must continue to outgrow the group. The analysis uses recurring economics throughout and treats the 2026 tariff refund as non-recurring.

BRIDGE MECHANICS

Group EBIT recovery depends heavily on stabilizing Core volumes. The DKK 5.3 billion trough in 2027 is a key valuation pressure point.

At 10.5x 2026e EBIT, group EBIT of DKK 7.3 billion supports the full enterprise value. The allocation simply assigns more of that value to Fuel's growth and a small option value.

Equity value equals market capitalization of DKK 62 billion after deducting the DKK 14.3 billion net-debt claim. Roughly 70 percent of EV is supported by current Core economics. The remainder depends on Fuel delivering its growth premium and the lab-grown option preserving value.

The most fragile assumption is that weak Core like-for-like sales are cyclical. Valuation can hold if network growth and Fuel mix continue to offset Core trends. It would come under pressure if group EBIT margin settles structurally below 20 percent.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Scenarios differ mainly in Core like-for-like sales and the durability of Fuel's growth premium across the two largest segments. Core volume is the single variable with the greatest impact on 2027 EBIT.

The downside case combines continued negative like-for-like sales, silver-cost pressure and higher promotional activity. The upside case requires Core stabilization and Fuel to remain a meaningful mix-shift driver.

Lab-grown diamonds are not material to any scenario at their current scale.

BOTTOM LINE

The central question is whether Pandora's Core franchise remains a durable, high-margin cash generator or is a mature category showing early structural fatigue. The answer determines the credibility of 68.5 percent of enterprise value. Fuel with more must sustain a growth and margin premium to justify its 29 percent weight. The lab-grown option is too small to support the case. Core like-for-like must stabilize and Fuel must continue to outperform. Valuation relies mainly on current Core earnings at a moderate multiple, leaving 18% downside to the 676.3 DKK target.

FINANCIAL BRIDGE · PART 1

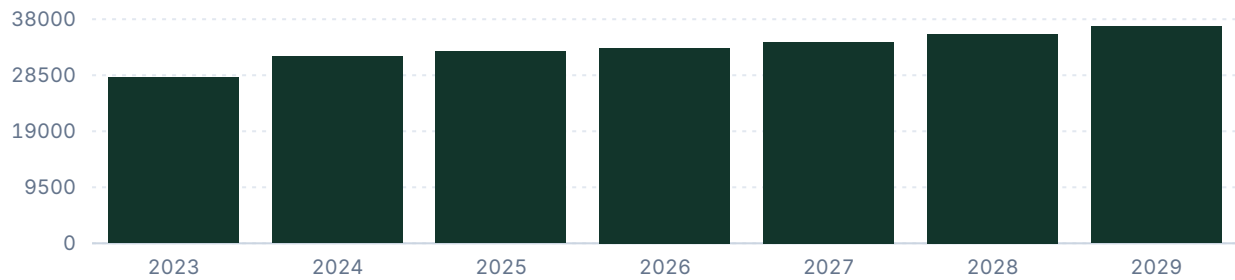
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

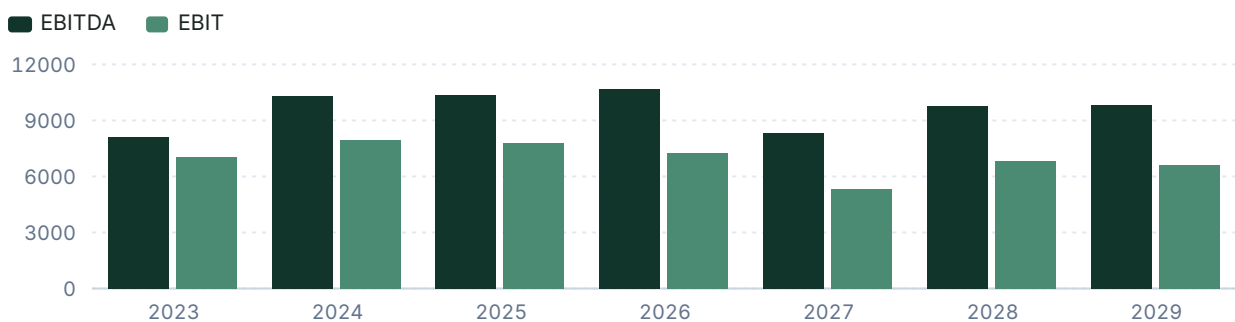
Net sales

DKK millions



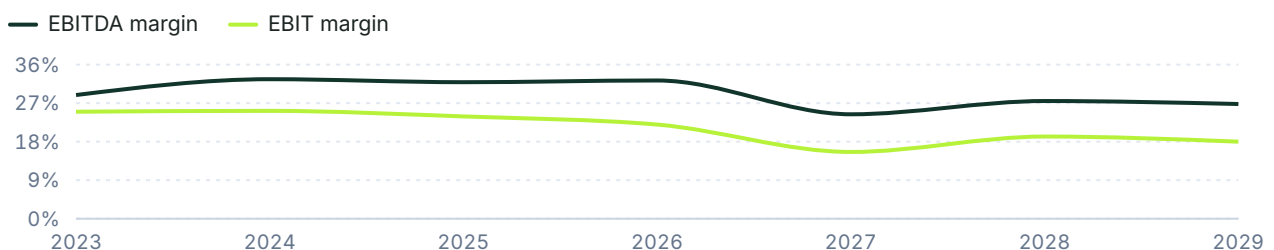
EBITDA & EBIT

DKK millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

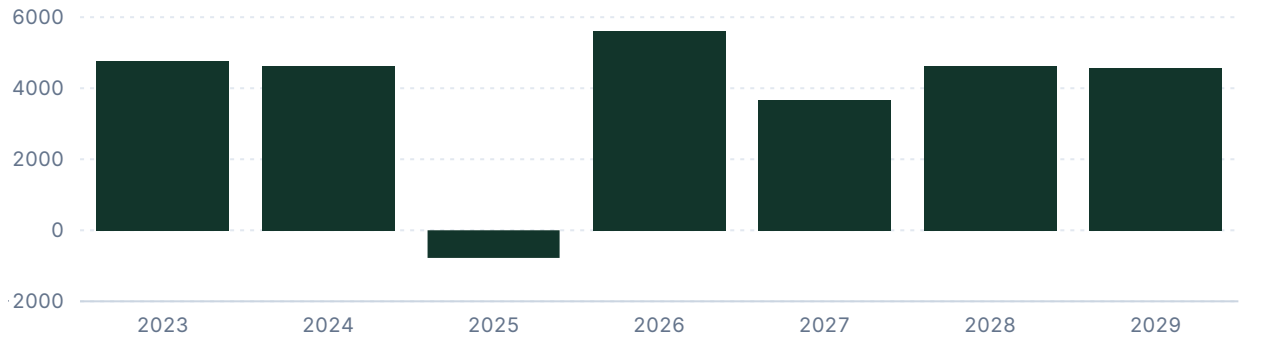
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

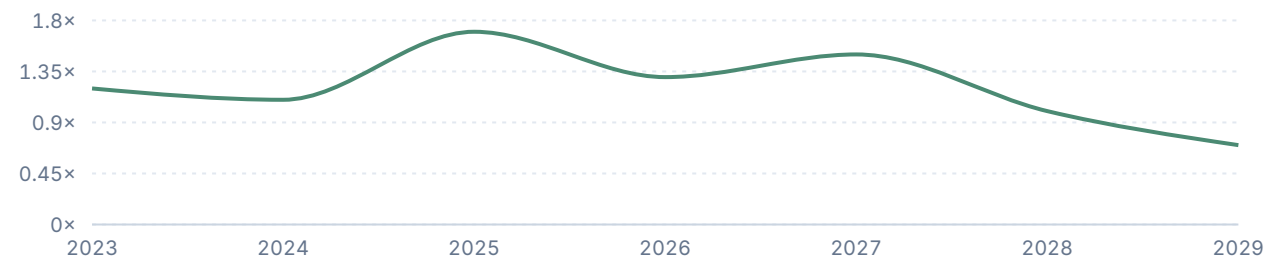
Free cash flow

DKK millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	32,549	33,086	34,103	35,530	36,763
EBITDA	10,369	10,692	8,333	9,774	9,850
Comparable EBIT	7,783	7,267	5,337	6,812	6,633
Net Earnings	5,242	4,929	3,517	4,580	4,738
EPS (DKK)	68.1	64.1	45.7	59.5	61.6
DPS (DKK)	20	18.9	13.5	17.6	18.2

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

1. Historical and Forecast Multiples Table

2. Peer Comparison Table

Peer comparison not shown - fewer than 3 usable peers available.

3. Valuation Method Rationale

EV/EBIT is the primary method because Pandora is a branded consumer retailer whose value is principally tied to operating -profit durability; P/E provides an equity -side cross -check. Pandora trades at 14.30x 2027e EV/EBIT versus its 14.11x normalized historical average, while its 18.14x 2027e P/E is close to its 18.33x normalized historical average. Only two peers have usable 2027e EV/EBIT data, with an indicative 8.0x median and 6.1x–9.9x range, so Pandora's own valuation history remains the primary reference. History and the limited peer evidence support an 11.5x–14.0x EV/EBIT band and a 13.0x–15.0x P/E band; the selected multiples are 12.5x EV/EBIT and 14.0x P/E, respectively. The selections sit in the lower half of their bands because Core like-for-like sales were negative in Q2/26 and 2027e EBIT margin falls to 15.6%, partly offset by Fuel with More like-for-like growth and still -superior profitability versus peers. The ROE/P/BV scatter is excluded from target -price math because its recommended weight is 0%; the principal multiple risk is sustained Core demand weakness that causes a structurally lower group EBIT margin.

4. Target Price Bridge Table

5. Sensitivity Table

Historical and Forecast Multiples											
Metric	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	Norm. Avg	Selected Fair Multiple
P/E	34.10x	19.36x	9.00x	16.82x	20.31x	10.39x	12.95x	18.14x	13.93x	18.33x	14.0x
P / Valuatum FOCF	11.45x	18.80x	22.63x	16.72x	22.94x	-69.96x	11.38x	16.91x	13.41x	18.51x	
P/BV	8.94x	11.50x	6.32x	14.88x	19.27x	10.31x	6.87x	5.59x	4.23x	11.87x	
P/S	3.48x	3.44x	1.71x	2.83x	3.35x	1.67x	1.93x	1.82x	1.75x	2.75x	
EV/Sales	3.64x	3.60x	1.97x	3.18x	3.70x	2.22x	2.31x	2.24x	2.15x	3.05x	
EV/EBITDA	13.85x	10.87x	5.97x	11.02x	11.34x	6.98x	7.14x	9.16x	7.81x	10.01x	
EV/EBIT	25.80x	14.44x	7.72x	12.71x	14.69x	9.30x	10.50x	14.30x	11.20x	14.11x	12.5x
Dividend yield	1.3%	1.8%	3.3%	1.7%	1.4%	2.8%	2.3%	1.6%	2.1%	2.1%	

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
EV/EBIT	2027e EBIT	5,337	12.5x	700.7 DKK	60%
P/E	2027e EPS	45.7	14.0x	639.8 DKK	40%
Reverse valuation (diagnostic)	2026e Market-implied F...	829	n/a	829.0 DKK	0%
Weighted target price				676.3 DKK	100%

SENSITIVITY — IMPLIED SHARE PRICE

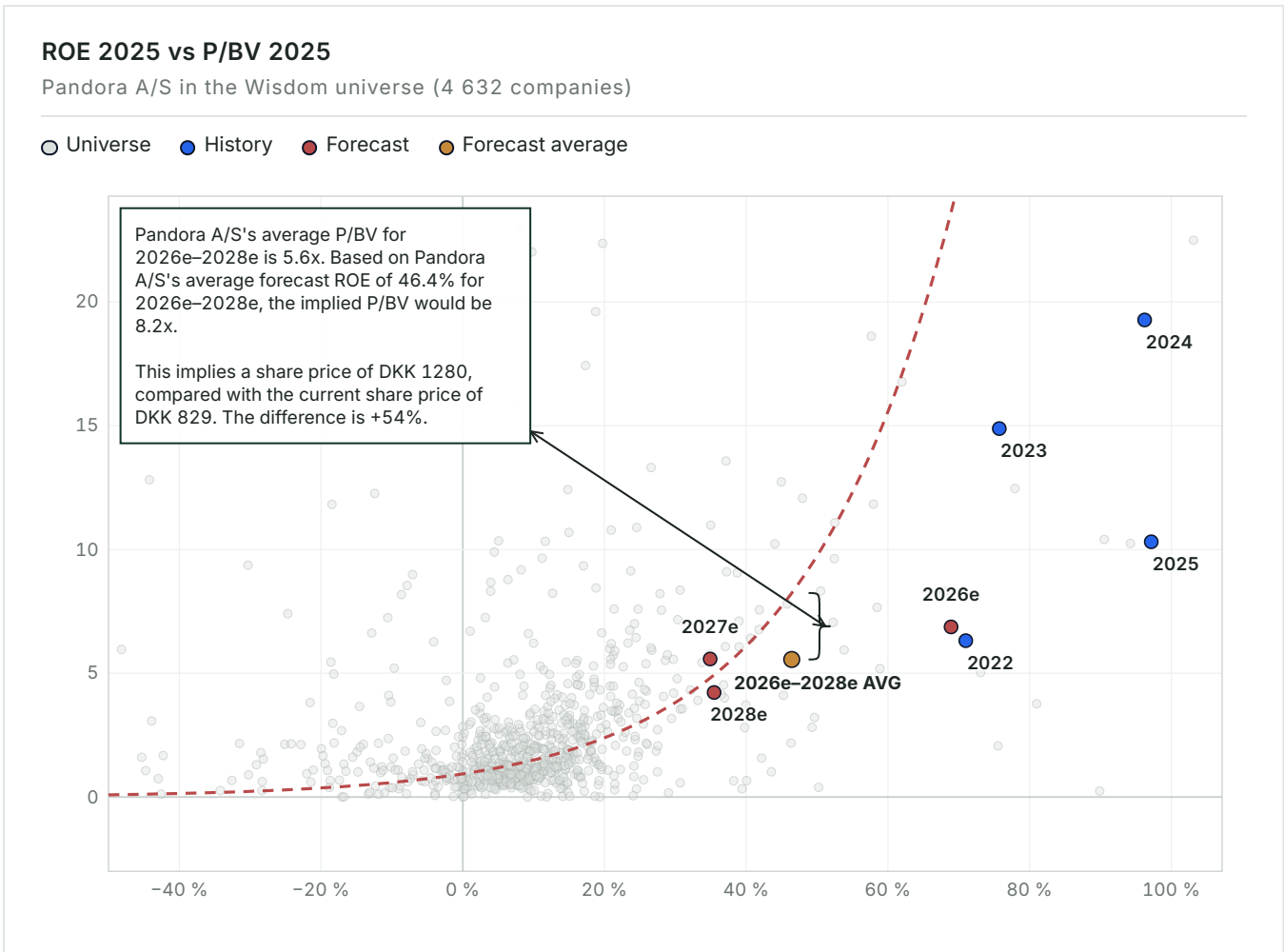
2027E EBIT (DKKM)	MULTIPLE 11.5X	MULTIPLE 12.5X (BASE)	MULTIPLE 13.5X
4,269.6 (-20%)	465.3	522.4	579.4
4,803.3 (-10%)	547.3	611.6	675.8
5,337 (Base)	629.4	700.7	772.1
5,870.7 (+10%)	711.4	789.9	868.4
6,404.4 (+20%)	793.5	879.1	964.7

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Pandora appears undervalued relative to the Wisdom universe. Its forecast average ROE of 46.4% is valued at 5.6x P/BV, below the 8.2x multiple typically paid for that level of profitability. This implies a share price of DKK 1,279.7, or +54% upside from the current share price of DKK 829.2. Pandora sits below the universe curve, indicating that the market discounts its strong returns relative to the broader relationship between profitability and valuation.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	12.9×
EV/EBITDA	7.1×
EV/EBIT	10.5×
P / Valuatum FOCF	11.4×
P/BV	6.9×
Dividend Yield	2.3%
Net Debt / EBITDA	1.3×

EBITDA × EV/EBITDA sensitivity						
2027E EBIT EV/EBIT →	10.5×	11.5×	12.5×	13.5×	14.5×	
-20% DKK 8,554m	DKK 89,817m DKK 1,009.60 / sh	DKK 98,371m DKK 1,124.00 / sh	DKK 106,925m DKK 1,238.30 / sh	DKK 115,479m DKK 1,352.70 / sh	DKK 124,033m DKK 1,467.10 / sh	
-10% DKK 9,623m	DKK 101,042m DKK 1,159.70 / sh	DKK 110,665m DKK 1,288.30 / sh	DKK 120,288m DKK 1,417.00 / sh	DKK 129,911m DKK 1,545.60 / sh	DKK 139,534m DKK 1,674.30 / sh	
Base DKK 10,692m	DKK 112,266m DKK 1,309.70 / sh	DKK 122,958m DKK 1,452.70 / sh	DKK 133,650m DKK 1,595.60 / sh	DKK 144,342m DKK 1,738.60 / sh	DKK 155,034m DKK 1,881.50 / sh	
+10% DKK 11,761m	DKK 123,491m DKK 1,459.80 / sh	DKK 135,252m DKK 1,617.00 / sh	DKK 147,013m DKK 1,774.30 / sh	DKK 158,774m DKK 1,931.50 / sh	DKK 170,535m DKK 2,088.70 / sh	
+20% DKK 12,830m	DKK 134,715m DKK 1,609.90 / sh	DKK 147,545m DKK 1,781.40 / sh	DKK 160,375m DKK 1,952.90 / sh	DKK 173,205m DKK 2,124.40 / sh	DKK 186,035m DKK 2,296.00 / sh	

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	34,103	7,000	20.5%	9.2×	64,050	49,754	DKK 665.15	-19.8%
Base	34,103	8,333	24.4%	9.2×	76,247	61,951	DKK 828.21	-0.1%
Bull	34,103	10,500	30.7%	9.2×	96,075	81,779	DKK 1093.29	+31.8%

KEY CONDITIONS

Scenarios are driven by the Core volume path, with like-for-like ranging from -2% in Bear to +2% in Bull. They also depend on Fuel with More retaining its mix-shift momentum, accelerating to +8% LFL in Bull or slowing in Bear. These scenarios are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of DKK 676.3 sits between Bear and Base (Bear DKK 665.2, Base DKK 828.2, Bull DKK 1,093.3); its method weights are shown in the Target Price Bridge.

THESIS BREAKER

Core LFL re-accelerating above +2% while Fuel LFL sustains double-digit growth would invalidate the downside thesis by eliminating the 2027 margin trough.

CATALYSTS

Monitoring checklist

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Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Q3/Q4 2026 and FY2026 Core and Fuel like-for-like prints	NEAR-TERM	Fuel with More – Full-Jewellery Growth Platform	LFL % holding above -2%	Multiples hold steady
Net store openings vs 2024-26 plan	NEAR-TERM	Fuel with More – Full-Jewellery Growth Platform	Additions on track	Supports revenue stability
Platinum-plated broader test results	NEAR-TERM	Lab-Grown Diamonds & Material Innovation	Test success in Q4 2026	Minor option value boost
Remaining U.S. tariff refund	NEAR-TERM	Core	H2 2026 cash receipt	One-off cash / margin padding
CFO transition (Paulo Garcia assumes Dec 2026)	MEDIUM-TERM	Core	Capital allocation continuity	Maintains shareholder returns
Lab-grown geographic / profitability update	MEDIUM-TERM	Lab-Grown Diamonds & Material Innovation	Store rollout beyond 700 doors	Validates option value conversion
READ - THROUGH The Core like-for-like print is the most important and most visible near-term catalyst. Investors may misread a single weak quarter as structural, so the trend matters more than one result. The checklist directly tracks the two largest EV segments. Beyond near-term results, net store openings must offset LFL weakness to avoid material cuts to forward EBIT estimates. Updates on lab-grown profitability will determine whether the emerging option creates real value.				

Event sources: Pandora appoints Paulo Garcia as new CFO as Anders Boyer will retire - GlobeNewswire (2026-08-06), <https://www.globenewswire.com/news-release/2026/08/06/3339947/0/en/pandora-appoints-paulo-garcia-as-new-cfo-as-anders-boyer-will-retire.html> · Pandora delivers 3% organic growth in Q2 - guidance upgraded - GlobeNewswire (2026-08-12), <https://www.globenewswire.com/news-release/2026/08/12/3343901/0/en/pandora-delivers-3-organic-growth-in-q2-guidance-upgraded.html> · Pandora Q2 2026 Interim Report Company announcement_No_1015 (2026-08-12), <https://ml-eu.globenewswire.com/Resource/Download/58226d52-7415-4df5-a8b4-f6d440fab11f>

RISKS

Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Structural charm-bracelet demand fatigue	Core	A permanent decline in charm popularity reduces the core earnings engine, forcing a severe multiple de-rating.	Consecutive negative LFL prints	HIGH	THESIS BREAKER
Fashion jewellery margin compression	Fuel with More – Full-Jewellery Growth Platform	Discounting pressure to maintain growth in design lines compresses the premium 82.8% gross margin.	Elevated promotional intensity	MEDIUM	MANAGEABLE
Simultaneous trade-down across divisions	Fuel with More – Full-Jewellery Growth Platform	Consumers delaying gifting affects both Core and Fuel simultaneously since they share stores and customers.	Declining average selling prices	HIGH	STRUCTURAL
Silver input cost pressures	Core	Higher silver prices pressure margins if not fully offset by pricing, especially post-2027 when hedges expire.	Raw material cost inflation	MEDIUM	MANAGEABLE
Lab-grown regulatory and labeling setbacks	Lab-Grown Diamonds & Material Innovation	EU Green claims enforcement fragments labeling requirements, stalling the segment's geographic rollout.	France-style terminology restrictions spreading	LOW	MANAGEABLE

READ-THROUGH

The main risk to the thesis is structural charm-bracelet fatigue that network growth cannot offset. This would reduce Core EBIT and force a lower multiple on the 68.5 percent segment. Input-cost pressure and promotional intensity are partly reflected in the moderate multiple, but simultaneous pressure across divisions would be a more serious structural threat. The interaction between Core and Fuel is underappreciated. If consumers

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APPENDIX

Income statement

INCOME STATEMENT — DKK MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	28,136	31,680	32,549	33,086	34,103	35,530
EBITDA	8,119	10,330	10,369	10,692	8,333	9,774
EBITDA margin	28.9%	32.6%	31.9%	32.3%	24.4%	27.5%
Depreciation	-1,080	-2,354	-2,586	-3,425	-2,996	-2,962
Operating Profit (EBIT)	7,039	7,976	7,783	7,267	5,337	6,812
EBIT margin	25.0%	25.2%	23.9%	22.0%	15.6%	19.2%
Net financial items	-805	-1,050	-870	-1,020	-800	-903
Pre-tax Profit	6,234	6,926	6,913	6,247	4,537	5,909
Net Earnings	4,740	5,227	5,242	4,929	3,517	4,580
PER SHARE						
EPS	55.5	64.9	68.1	64.1	45.7	59.5
DPS	16	18	20	18.9	13.5	17.6
Payout ratio	28.8%	27.8%	29.4%	28.7%	28.7%	28.7%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — DKK MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	6,525	8,472	9,152	9,144	9,425	9,819
Intangibles	2,886	3,106	3,343	3,398	3,503	3,649
Goodwill	4,914	5,126	5,020	5,020	5,020	5,020
Non-current assets	14,540	17,002	17,811	17,858	18,243	18,784
Inventories	4,166	4,426	4,883	4,844	4,993	5,202
Receivables	2,435	2,406	4,038	4,012	4,083	4,182
Cash & equivalents	1,397	2,394	1,305	1,737	1,791	1,866
Current assets	7,998	9,226	10,226	10,593	10,866	11,250
Total Assets	23,798	27,758	29,603	30,017	30,676	31,600
EQUITY & LIABILITIES						
Equity	5,355	5,508	5,282	9,025	11,126	14,696
Long-term debt	6,972	7,831	11,922	4,969	4,042	2,502
Short-term debt	313	397	1,627	4,969	4,042	2,502
Long-term liabilities	6,344	7,098	6,939	-14	-941	-2,481
Current liabilities	8,053	9,877	11,252	14,449	13,660	12,313
Total liabilities & equity	23,798	27,758	29,603	30,017	30,676	31,600
CAPITAL STRUCTURE & RATIOS						
Net debt	9,770	11,007	17,912	14,296	12,663	9,749
Capital invested	11,243	11,342	17,526	17,225	17,419	17,834
Equity ratio	22.5%	19.8%	17.8%	30.1%	36.3%	46.5%
Gearing	182.4%	199.8%	339.1%	158.4%	113.8%	66.3%
Net debt / EBITDA	1.2×	1.1×	1.7×	1.3×	1.5×	1.0×
Current ratio	1	0.9	0.9	0.7	0.8	0.9

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — DKK MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	6,735	9,089	5,883	8,274	6,431	7,427
Operating cash flow (Valuatum calculation)	7,406	9,549	6,867	9,079	7,051	8,127
Change in working capital	-403	-1,509	1,944	80	82	115
INVESTING & FREE CASH						
Gross capex	2,599	4,816	3,395	3,472	3,382	3,503
Capex (ex. M&A)	-2,599	-4,816	-3,395	-3,472	-3,382	-3,503
Cash after capex (CFO - gross capex)	4,136	4,273	2,488	4,802	3,049	3,924
Free operating cash flow (Valuatum def.)	4,766	4,628	-778	5,607	3,669	4,624
Free cash flow to firm	4,766	4,628	-778	5,607	3,669	4,624
FINANCING						
CF from financing	-3,014	-2,945	-3,902	-4,370	-2,996	-3,849
Dividends paid	-1,484	-1,367	-1,451	-1,539	-1,416	-1,010
Net change in cash	1,122	1,328	-1,414	432	53	75

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, DKK MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	6,834	6,771	6,103	11,973	7,347	7,075	6,269	11,858
EBITDA	2,068	1,917	1,572	4,772	2,265	1,910	1,523	4,670
EBITDA margin	30.3%	28.3%	25.8%	39.9%	30.8%	27.0%	24.3%	39.4%
Comparable EBIT	1,507	1,338	981	4,149	1,641	1,287	879	3,975
EBIT margin	22.1%	19.8%	16.1%	34.7%	22.3%	18.2%	14.0%	33.5%
Net Earnings	965	799	595	2,869	1,101	803	489	2,849
EPS	12	9.9	7.4	35.6	14.3	10.4	6.4	37

CURRENT YEAR — QUARTERLY, DKK MILLIONS				
	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	7,109	7,219	7,220	11,538
EBITDA	2,146	2,154	1,740	4,652
EBITDA margin	30.2%	29.8%	24.1%	40.3%
Comparable EBIT	1,487	1,463	896	3,421
EBIT margin	20.9%	20.3%	12.4%	29.7%
Net Earnings	942	875	659	2,453
EPS	12.2	11.4	8.6	31.9

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 4086, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, PNDORA.CO financialmodelingprep.com	MARKET DATA	Price chart & market facts
Pandora Annual Report 2025	attachment.news.eu.nasdaq.com/.../ae9488461bacf9232a79d853e46e9d5eb	OFFICIAL SOURCE	Reported segment table
Pandora appoints Paulo Garcia as new CFO as Anders Boyer wi...	www.globenewswire.com/.../pandora-appoints-paulo-garcia-as-new-cfo-as-anders-boyer-will-retire.html	OFFICIAL SOURCE	Event status & fact sheet
Pandora delivers 3% organic growth in Q2 - guidance upgrade...	www.globenewswire.com/.../pandora-delivers-3-organic-growth-in-q2-guidance-upgraded.html	OFFICIAL SOURCE	Event status & fact sheet
Pandora Q2 2026 Interim Report Company announcement_No_1015	ml-eu.globenewswire.com/.../58226d52-7415-4df5-a8b4-f6d440fab11f	OFFICIAL SOURCE	Event status & fact sheet
United States — U.S. Customs and Border Protection (CBP) / FTC	za.investing.com/.../pandora-raises-2026-guidance-on-tariff-refund-q2-growth-93CH-4425064	SIGNAL · NEWS	Approval map
European Union — European Commission	commission.europa.eu/.../3c257883-bb2a-4dd9-a6dc-501d587bb34f_en	SIGNAL · OFFICIAL	Approval map
China — State Administration for Market Regulation (SAMR)	research.hktdc.com/.../MjM2Njc5NDQ3NWw	SIGNAL · OFFICIAL	Approval map
France — DGCCRF	pavelook.com/.../the-5th-c-pandora-s-new-criteria-for-lab-grown-luxury	SIGNAL · NEWS	Approval map
Pandora Reports Lower 1Q and a "5th C" for Its Lab-Grown Di...	www.jckonline.com/.../pandora-reports-1q-revenue	SIGNAL · NEWS	Signal map
Pandora confirms ambitious growth journey ahead	www.pandoragroup.com/.../26071	SIGNAL · OFFICIAL	Signal map
Pandora shifts to recycled silver and gold	www.pandoragroup.com/.../pandora-shifts-to-recycled-silver-and-gold	SIGNAL · OFFICIAL	Signal map
Pandora Raises 2026 Outlook After Growth in Second Quarter...	www.jckonline.com/.../pandora-q2-2026-growth	SIGNAL · NEWS	Signal map